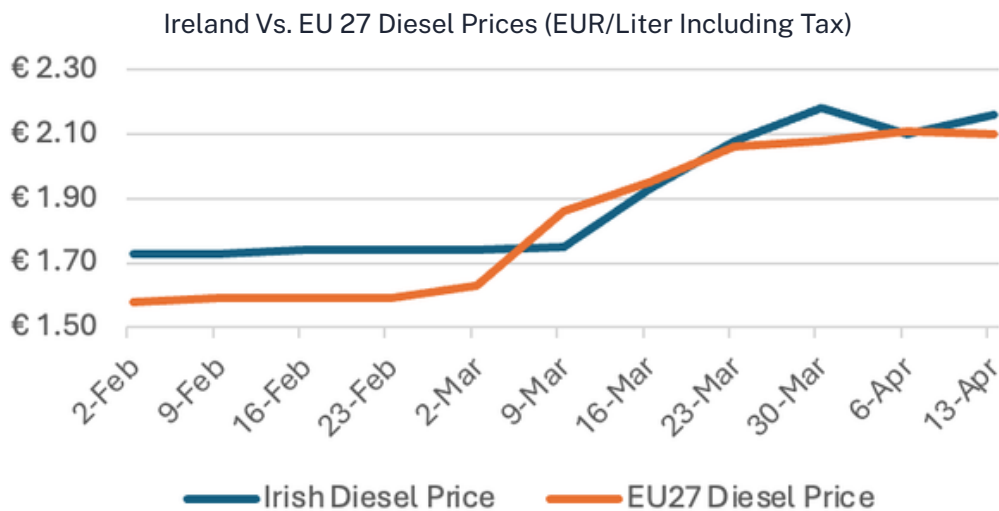


Irish Support for Farmers Cannot Fully Mitigate Price Shocks

By: Lucas Ward
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Following protests from 7-12 April, the [Irish Government](#) announced €500 million in measures to ease the pressure of rising fuel prices on farmers, hauliers, and motorists. Taxes on diesel and petrol will fall by 10 cents per litre, while a dedicated Fuel Subsidy Support Scheme for farmers will offer 20 cents per litre. When combined with previous reductions in March, petrol excise duty has fallen by 27 cents and diesel by 32 cents. A carbon tax, scheduled to be introduced next month, was delayed to the next budget, in October. The measures come in addition to a €250 million package of fuel tax reductions in late March.



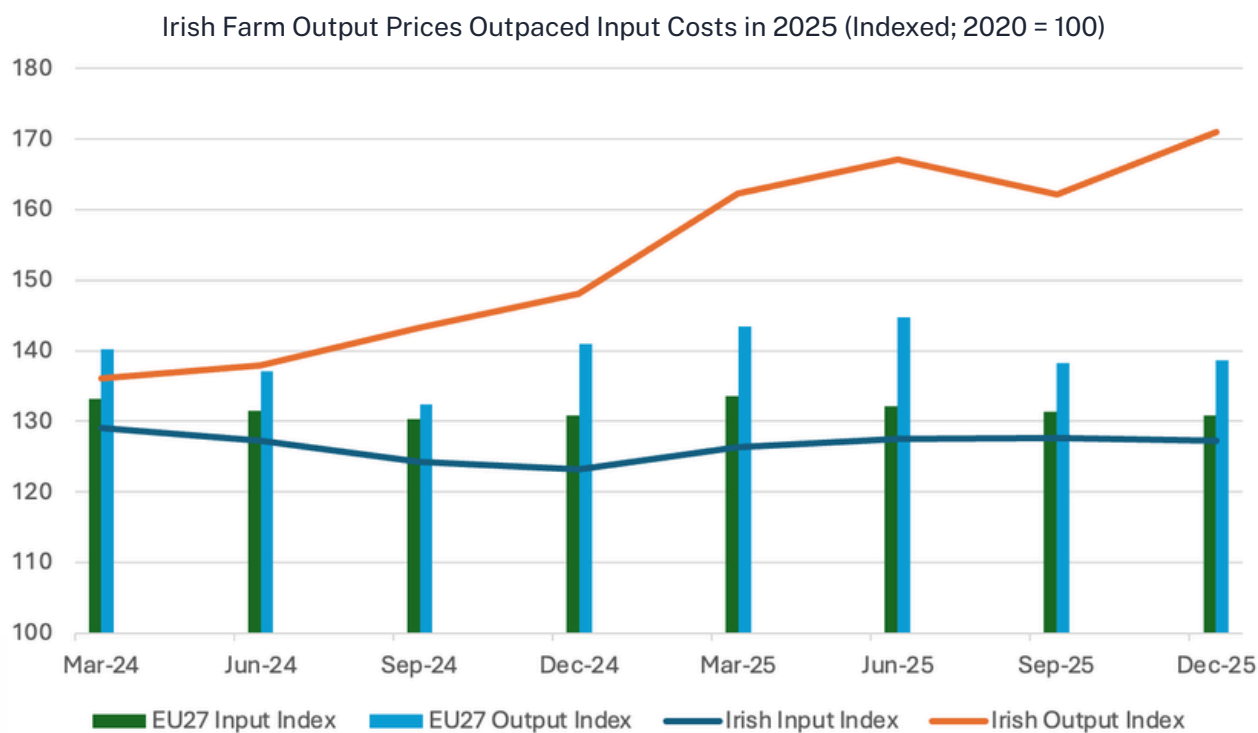
Source: European Commission

Immediate Political and Market Reactions

- [Irish Taoiseach Micheál Martin](#) framed the measures as temporary and tied them directly to rising energy prices driven by disruption to gulf supply. Martin stressed the role of dialogue with industry groups in drafting measures, while condemning protest methods as undermining ‘the fundamental human rights of others’.
- [The Irish Farmers’ Association](#) stated that it would continue ‘to campaign vigorously’ to protect Ireland’s agriculture sector, suggesting that industry could seek an expansion of protective measures should input costs continue to rise.
- The IFA also stated that it would seek to pressure the government into revoking, rather than delaying, a planned carbon tax.
- [The Irish Times reported](#) that prices began to fall immediately but unevenly – excise duty applies when fuel leaves a refinery or terminal, so effects on prices will correspond to wholesale purchase timelines. This is consistent with European Commission data (see graph), which shows little discernible impact on nationwide prices as of 13 April.

Commercial Implications

- Agriculture firms stand to benefit from the Fuel Subsidy Support Scheme. Marked Gas Oil (MGO), diesel farmers use to power machinery, is already taxed at a lower rate, limiting the impact of reductions. The price of MGO increased from 97 cents per litre to €1.80 from February to April. 20 cents per litre of support will partially offset this immediate input cost pressure but could be overcome by increases in global crude prices in the coming weeks and months.
- The measures will also directly benefit haulage firms. According to the UK Road Haulage Association (RHA), fuel can account for 20 to 25% of a [heavy goods vehicle's operating cost](#). While this is a UK industry estimate, it indicates the scale of haulage firms' exposure to fuel prices. Reducing excise duty on diesel by 32 cents per litre will ease the pressure of rising input costs on margins.
- As with subsidies for farmers, tax reductions on road diesel could be overcome by consistently elevated oil prices. The cost of diesel per litre in Ireland rose from €0.80 on 23 February to €1.28 on 13 April. Should prices remain at this level or increase further, current reductions will only mitigate, rather than offset cost pressures.



Source: European Commission